

NYSE: WHR

The Whirlpool logo is centered on a blue rectangular background. It features the word "Whirlpool" in a dark grey, sans-serif font, with a yellow swoosh underline that starts under the 'i' and loops around the 'o'.

April 3rd 2022

Agenda

- 1) Summary
- 2) Overview
- 3) Replacement Cycle
- 4) Trends
- 5) Threats
- 6) Product Mix
- 7) Quality Management
- 8) Financial Overview
- 8) Comparative Analysis
- 9) Valuation & Recommendation



Summary



Recommendation

Target Price

\$219.04

**Implied
Return**

21.33%

Action

Buy

Rationale

- Undervalued based on our financial valuation and multiples
- Mature cyclical stock
- Focus on return on capital to shareholders
- Diverse products and geographical presence

Overview



Company Overview

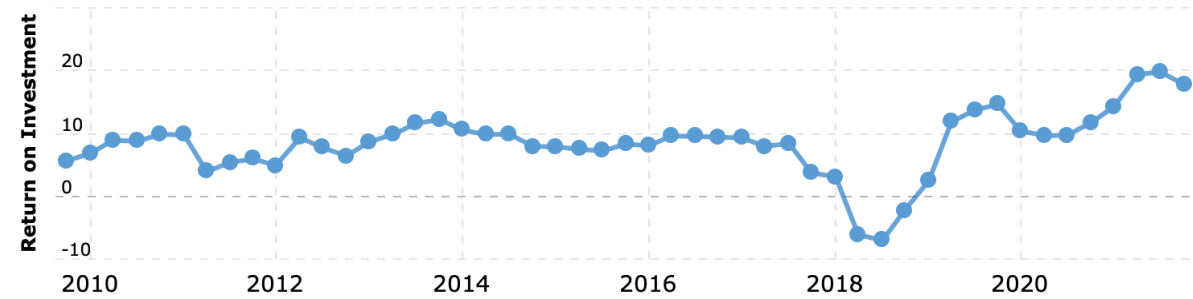
- Whirlpool is a well-diversified global company with a loyal following due to its quality customer service and products such as its laundry machines and other homes appliances.
- In 2021, it reported an annual revenue of \$22bn USD
- This was possible through their 7 brands, with each brand making more than \$1bn (USD) in annual revenue
- Whirlpool can sustain its reputation and sales through its competitive advantage such as through its innovations such as
- Whirlpool also has a reputation of maintaining a stable positive cashflow

Key Metrix

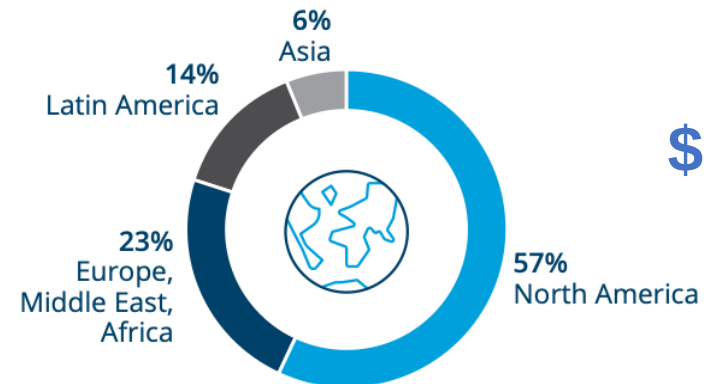
Annual Expectations 2022 onwards	
Sales	5-6%
Ongoing EBIT	11-12%
Adjusted FCF	7-8%
ROIC	15-16%

Historical Stock Performance (ROI: 2009-2022)

- From the years 2009 to 2022, WHR's return on capital investment has been increasing by an estimate of 8%



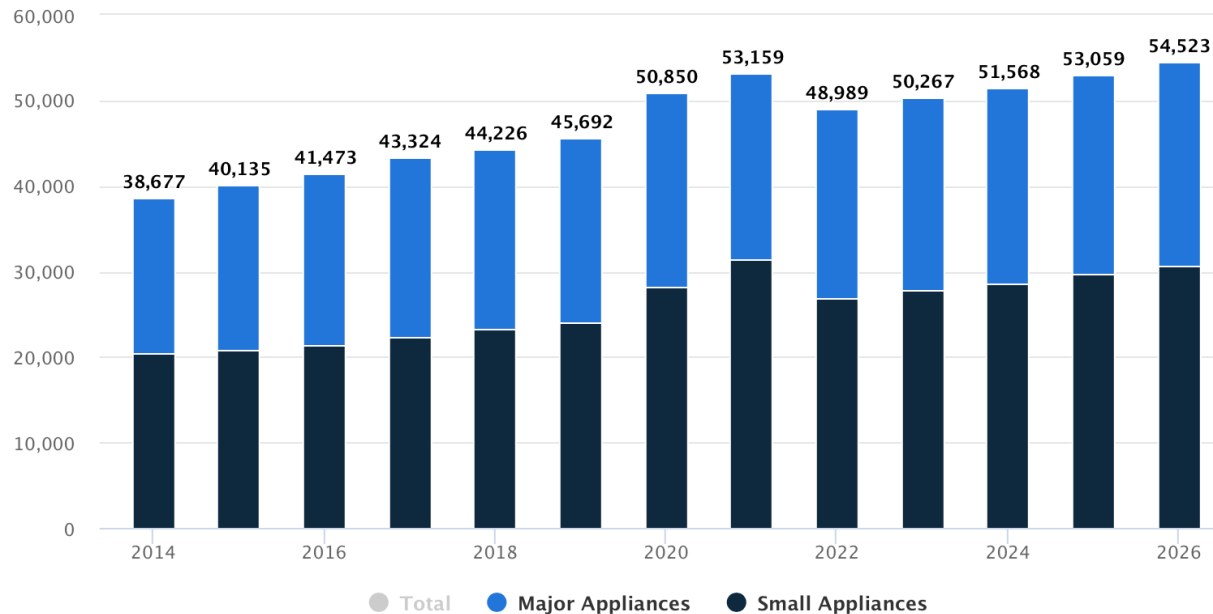
Regional Operation and Sales



\$22B in Annual Sales (2021)

Home Appliance Growth in the United States

- Revenue in Home Appliances in the US market has been gradually increasing and is forecasted to increase
- Whirlpool is one of the largest home appliance manufacturer in the United States and the global Home Appliance market



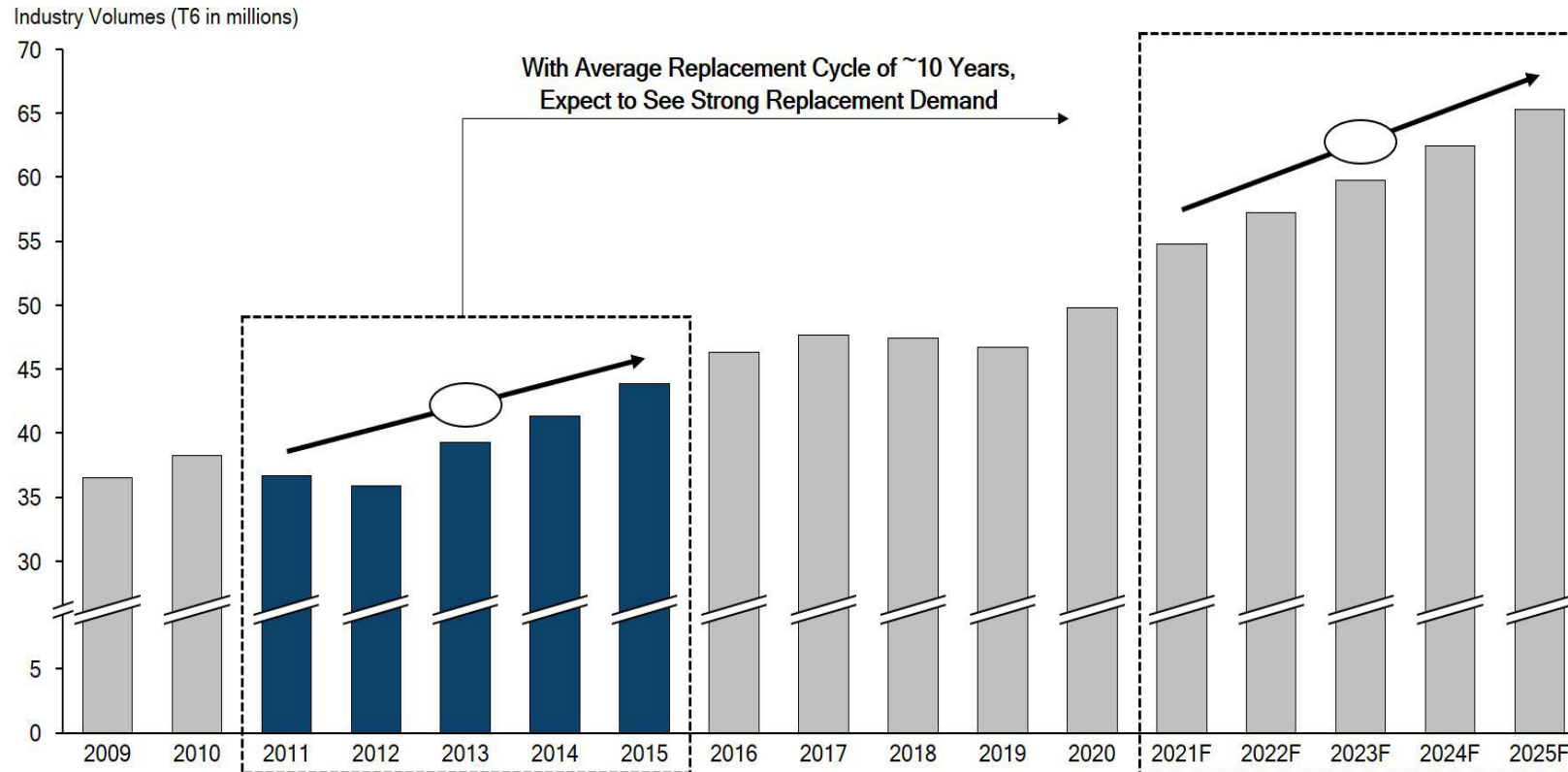
Real estate and Remodeling trends

- An increasing trend of home remodeling over the years which require the installation and investment of new home appliances which Whirlpool and its competitors provide.
- Since new homes must be furnished with new appliances, and since WHR is one of the most popular appliance maker in the U.S., it benefits from rising home sales and remodeling trends.
- Aligned with increase in remodeling trends, Home appliance searches have increased by 26% in the last 12 months

Environmental and Net emissions

- In 2021 Whirlpool announced its Net Zero Emissions target in plants and operations by 2030
- Emphasis and acceleration of investment in renewable energy both on and offsite
- WHR has a dedicated ESG task force that maintains accountability as well as identifies and addresses challenges within the organization

Replacement Cycle



- Innovation and technological advances in products as well as decline in condition on existing products leads to the forecasted increase in demand in upcoming years

Threats

Squeezing Middle Class

- Lower demand from middle class customers as the middle class shrinks
- 10% decrease in middle class between 1972 and 2018

Supply Chain Disruptions

- Disruptions throughout the pandemic and rolling disruptions thereafter have made it difficult to get products to customers
- In October 2021 port delays at the Port of Los Angeles forced increased costs and cutting sales forecasts

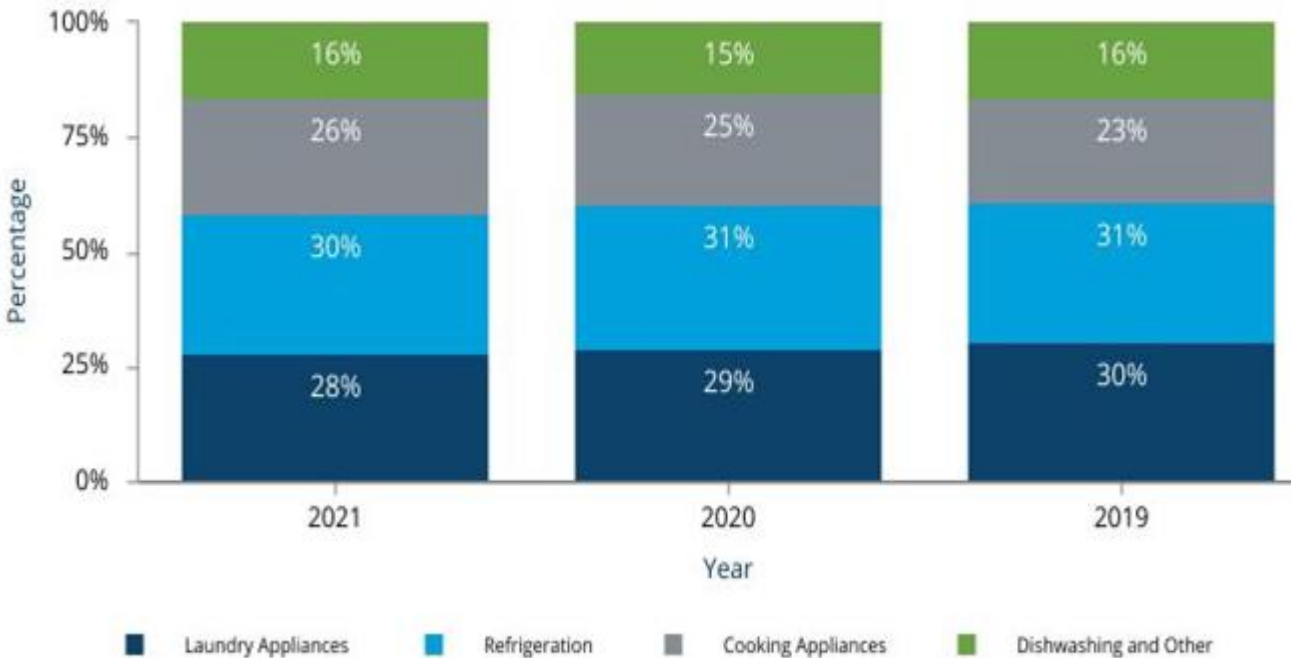
Increasing Cost of Production in the U.S.

- 28,000 Americans employed at 8 factories across the United States, in 2013 80% of products sold were made in the U.S.
- Employee benefits are 5.7% points more expensive in the U.S. than in its 9 largest trading partners



Product Mix

Product Categories as % of Net Sales



Product Mix: Household Appliances

- Laundry appliances
- E.g. Maytag smart top load washer
- Refrigeration
- E.g. Whirlpool French door refrigerator
- Cooking appliances
- E.g. Brastemp 4 burner stainless steel stove
- Dishwashing
- E.g. KitchenAid Two-Rack Dishwasher
- Other

Quality Management



Compensation

- Annual match and automatic company contributions to Supplemental Executive Retirement Plans for up to 7%
- \$91 Million dollar contribution in 2021
- Rate of Compensation Increase, U.S.: 4.5%, Foreign: 3.59%
- Marc Bitzer owns US\$17m worth of shares and management and shareholder alignment is strong

Share Buy Backs

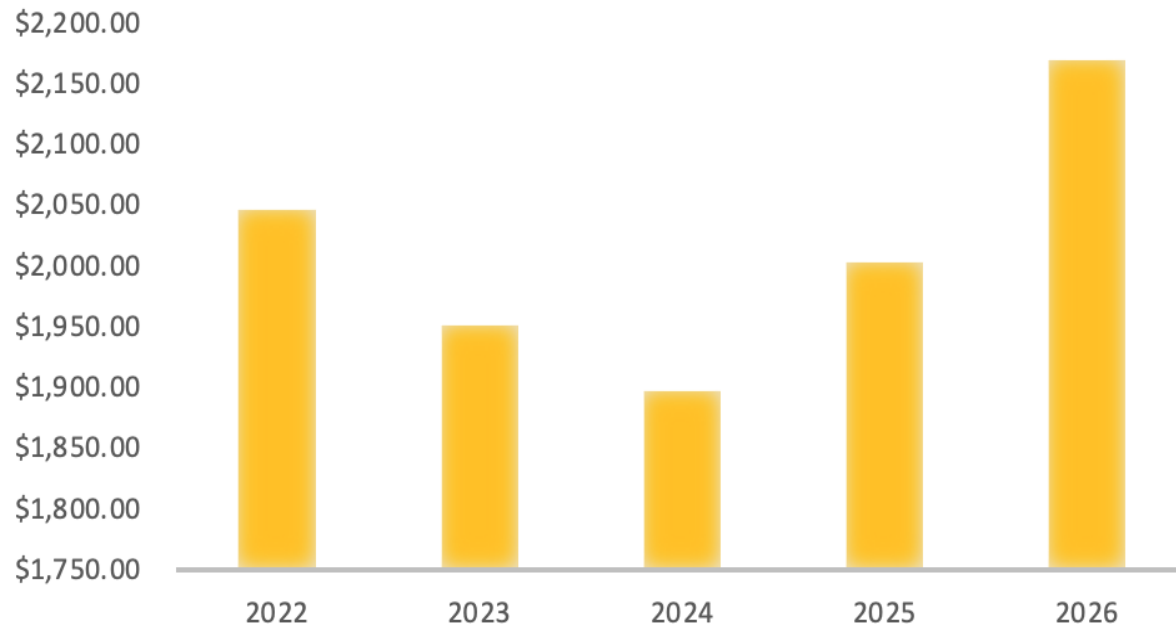
- 4.8m shares bought back in 2021 (value of \$1 billion)
- Added \$2 billion to share buy-back plan
- Increase EPS and DPS by 12%

Strategy & Goals

- Add value to existing products through innovation, Load & Go™ technology
- Develop and launch new products efficiently and effectively

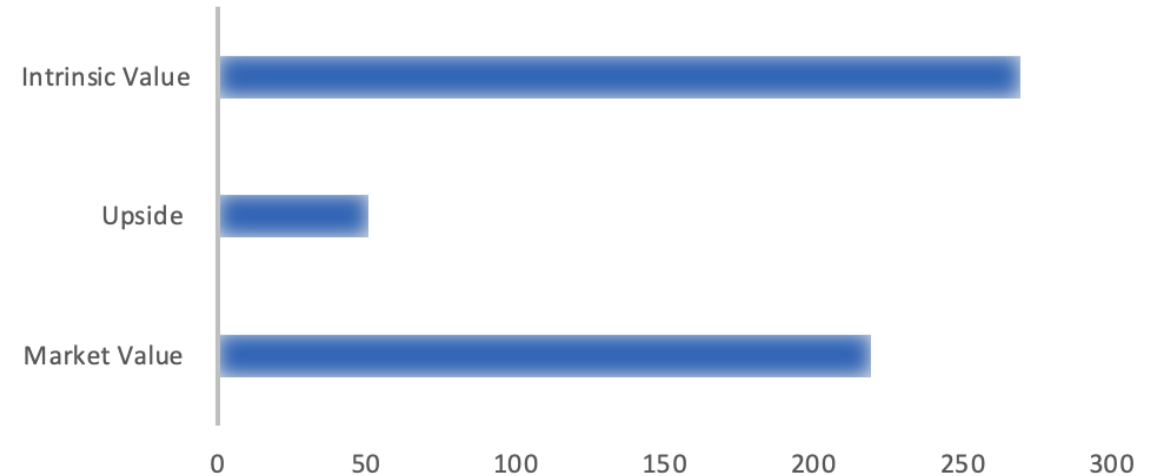
Financial Overview

Forecasted Cash Flow



Market Value vs. Intrinsic Value

- Since Market value is less than the intrinsic value, we can verify our assumption that WHR is an undervalued stock



Comparison Analysis

Ticker	Company Name	Market Data					Financial Data (FY+1)			Valuation (FY+1)		
		Price (\$/share)	Shares (M)	Market Cap (\$M)	Net Debt	EV (\$M)	Sales (\$M)	EBIT (\$M)	Earnings (\$M)	EV/Sales x	EV/EBIT x	P/E x
NYSE: MHK	Mohawk Industries, Inc.	\$ 124.24	64	\$7,894	\$ 2,134.70	\$10,036	\$ 11,200.60	\$ 1,360.30	\$ 14.94	0.9x	7.4x	8.3x
NYSE: MAS	Masco Corporation	\$ 51.55	237	\$12,193	\$ 2,243.00	\$14,693	\$ 8,375.00	\$ 1,020.00	\$ 1.62	1.8x	14.3x	12.3x
NYSE: ITW	Illinois Tool Works Inc.	\$ 210.15	313	\$65,762	\$ 6,354.00	\$72,117	\$ 14,455.00	\$ 3,500.00	\$ 8.51	5.0x	20.6x	23.0x
SZSE:000651	Gree Electric Appliances, Inc. of Zhuhai	\$ 5.19	5,389	\$27,967	\$ (14,039.30)	\$14,201	\$ 28,359.80	\$ 3,589.90	\$ 0.65	0.5x	4.0x	7.7x
NYSE: WEBR	Weber Inc.	\$ 10.12	53	\$532	\$ 1,244.10	\$1,597	\$ 1,956.70	\$ (35.10)	\$ (1.26)	0.8x	0.0x	17.3x
OM: ELUX B	AB Electrolux (public)	\$ 15.24	278	\$4,288	\$ 831.20	\$5,120	\$ 13,416.50	\$ 776.80	\$ 1.73	0.4x	6.6x	8.5x
NYSE: HBB	Hamilton Beach Brands Holding Company	\$ 11.46	14	\$160	\$ 96.60	\$256	\$ 658.40	\$ 32.70	\$ 1.53	0.4x	7.8x	6.7x
NYSE: COOK	Traeger, Inc.	\$ 7.42	118	\$876	\$ 404.90	\$1,281	\$ 785.50	\$ (52.60)	\$ (0.79)	1.6x	0.0x	57.1x
SZSE: 000333	Midea Group Co., Ltd.	\$ 9.21	6878.4	63349.6	\$ (1,071.60)	63814.3	\$ 51,676.60	\$ 3,772.80	\$ 0.65	1.2x	16.9x	12.9x
ENXTPA: SK	SEB SA	\$ 139.29	55.1	7680	\$ 1,665.50	9677.2	\$ 8,894.90	\$ 854.20	\$ 9.23	1.1x	11.3x	13.4x
Mean										1.4x	11.1x	16.7x
Median										1.0x	9.6x	12.6x
NYSE: WHR	Whirlpool Corporation	\$172.44	58.50	\$10,081	\$3,163	\$13,411	\$21,980	\$2,328	\$28.36	0.6x	5.8x	6.1x

Valuation & Recommendation

Recommendation

Target Price



\$219.04

Implied Return



21.33%

Action



BUY

- The current market price of WHR is \$172.64 however, the target price we came-up-with is \$219.04.
- At an implied return of 21.33%, and the qualitative and quantitative analysis provided, we recommend investors to BUY WHR.